



Unilever CEO Hein Schumacher's Challenges To Bolster Performance

Case Study

This case was written by **Joel Sarosh Thadamalla** and reviewed by **Dr. A. Saravanan Naidu**, Amity Research Centers Headquarter, Bangalore. It is intended to be used as the basis for class discussion rather than to illustrate either effective or ineffective handling of a management situation. The case was compiled from published sources.

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"The quality of our growth, productivity and returns have all underdelivered."

– Hein Schumacher, CEO, Unilever plc.

In March 2024, Unilever plc (Unilever), 'one of the world's largest consumer goods groups', to shake up and turnaround the performance of the company announced the decision to split its ice cream business by the end of 2025 and make it a standalone business. The company cited 'seasonality and lack of overlap on supply chains with the rest of the company, as reasons for exiting the ice cream business'. Unilever hoped to 'deepen its cost-cutting measures' and save an estimated €800 million by 2027, by cutting about 7,500 jobs.

According to the investment banker Barclays, 'Unilever as a market leader led the ice cream market with 20% share worth €17 billion. Joe Cornell (Cornell), a *Forbes* contributor and Founding Principal and Publisher of Spin-Off Research¹, noted that 'Unilever was exploring various avenues including separation (possible demerger leading to the establishment of a newly listed public entity). Unilever's ice cream portfolio included renowned Power Brands² like Ben & Jerry's, Cornetto, and Magnum (which contributed to about 85% of ice cream revenue in 2023)'. The 'top five ice cream markets for Unilever included the US (which contributed 24% of ice cream sales), Turkey and Germany (both accounted for 6% of sales), followed by the UK and China (both represented 5% of sales)'.

According to Cornell, Unilever's 'ice cream segment offered diverse frozen delights (desserts) such as ice cream, sorbet, and frozen yogurt, under a range of brands, including Magnum, Ben & Jerry's, Walls, and Cornetto, among others'. Cornell noted: "Innovation is critical in this segment, as Unilever continuously introduces new flavors, formats, and packaging designs to align with evolving consumer tastes and preferences. Despite being a minor revenue contributor, it holds a robust global presence. Ben & Jerry's unveiled the Caramel Café Sundae range, while Magnum introduced the Vegan Raspberry Swirl in Europe. Furthermore, the company expanded its product offerings with the new Cornetto & Magnum Minis collection and diversified its Mochi range with additional flavors across Asian markets. As a leading provider of cones in several key markets, particularly in Asia, such as India and China, the company extended its footprint in this category. Additionally, there's a strategic repositioning of heritage brands such as Wall's Viennetta, which was showcased by the launch of Mini Viennetta in stick and cup formats in China."

¹ An independent advisory report featuring analysis of spin-off situations.

² Which represent around three-quarters of Unilever's turnover.

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On the other side, Unilever's Indian subsidiary Hindustan Unilever Limited's³ (HUL) spokesperson mentioned that the company was 'evaluating various options'. Talking about HUL, in the light of this development, some experts expected a 'strategic shift in the future', while some 'believed that as ice cream business in India contributed to only 3% (about ₹20 billion) of total turnover of ₹581.54 billion in FY23, scooping out it as a separate business hardly made any big difference'. According to Ratna Bhushan and Sagar Malviya of *Economic Times*, 'HUL's ice cream business was built through acquisitions (Kwality in 1994 and Aditya Milk in 2018)'.

G Chokkalingam, Founder and MD of Equinomics Research⁴ mentioned: "Ice-creams have been a small part of the HUL business for some time now. While the summers are long and hot in India, there are stronger players such as Amul, Mother Dairy and a host of regional brands whose pricing is competitive and flavours unique. HUL may weigh in these prospects when taking a call with regard to the business." While Abneesh Roy, Executive Director at Nuvama Institutional Equities⁵ mentioned: "HUL may choose to retain the ice-cream business, which includes brands such as Kwality Wall's, Cornetto and Magnum, much like it did the tea business in 2021. HUL retained the tea business while its parent sold off the business in other countries (to CVC Capital Partners for \$5billion). We do see a low probability of any big change in HUL with regard to ice-creams."

Meanwhile, comparing Unilever's 'predominantly beauty and consumer care divisions', Cornell also noted that 'the ice-cream segment operated on a truly international scale and had a distinct business model⁶ leading to limited synergies across the portfolio. The unique necessity for cold storage facilities, divergent from the operational requirements of other businesses posed a challenge to achieve cost synergies and contain increasing distribution costs. Moreover, the ice cream business left high carbon footprint due to carbon emission associated with freezers and cold chain distribution, besides, high inflation and unpredicted milk-price escalations impacted the ice cream segment's operating margins' (**Annexure I**).

Cornell further noted that 'by separating ice-cream business, Unilever expected the opportunity to allocate increased capital and research and development resources toward its other top 30 brands which collectively accounted for about 75% of company's total revenue (characterised by high margins and robust growth prospects)'. In addition, 'the Unilever management launched productivity savings programme in phases to save cost by €800 million and resulted 7500 job losses. With this strategic initiative, the company hoped to concentrate its financial and managerial resources on its most resilient, internationally scalable brands which had the potential of accelerated growth and generate more sustainable revenue streams. Moreover, Unilever also anticipated enhanced profitability and mid-single-digit sales growth, coupled with improved profit margins, by 2026 (improve the margins and the valuations) of its ice cream business before its IPO'.

Madeleine Speed (Speed), et al., of *Financial Times* reported that Hein Schumacher (Schumacher), the new CEO of Unilever (since July 2023) was 'under intense pressure to shake up the performance of Unilever after witnessing several years of lack lustre growth'. Earlier Schumacher (in October 2023) announcing Q3 2023 results decided to unlock the potential and had set out an action plan to drive growth. He had stated: "Unilever is a company with strong fundamentals: a portfolio of great brands used by 3.4 billion people each day, number one or

³ Also known as the largest consumer goods company in India.

⁴ A Securities and Exchange Board of India (SEBI) registered Research Analyst.

⁵ A wealth management firm.

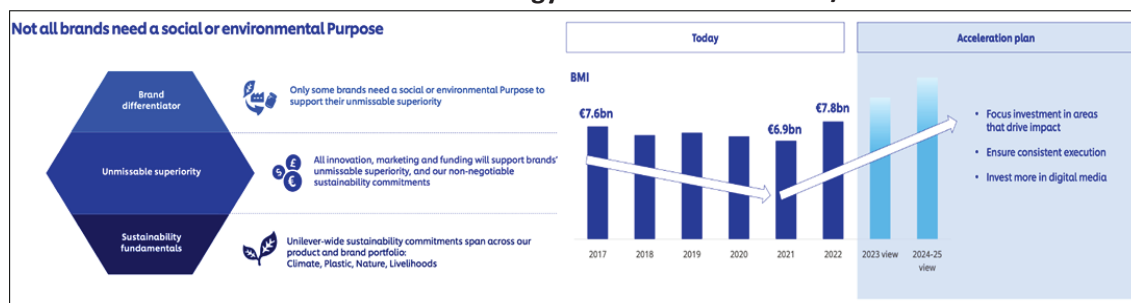
⁶ It is important to note that the ice-cream business operated on a seasonal basis, typically contributing to approximately five months out of the year to the overall profitability of the company.

two category positions across 80% of its turnover, an unrivalled global footprint and a team of talented people... Today we are setting out our action plan to close this gap. We will drive faster growth by stepping up innovation and investment behind our Power Brands; we will drive simplicity and productivity, leveraging the full strength of our operating model; and we will sharpen our performance culture through strong leadership and stretching goals.” He added: “I am excited about what we can achieve by delivering on these three priorities, as we focus on unlocking Unilever’s full potential in the months and years ahead.”

Schumacher had further mentioned: “...The idea of corporate purpose could be an ‘unwelcome distraction’ for some brands.” According to Speed, Schumacher had ‘set out a strategy for Unilever focusing on driving faster growth, productivity and building a performance culture along with overhaul of group leadership team’. Moreover, Schumacher also opined: “The consumer group’s results were not matching its potential. The quality of our growth, productivity and returns have all underdelivered... for some brands, purpose was central to the marketing and positioning to consumers, but for others, it was an ‘unwelcome distraction’. The time and investment the company had put into sustainability may have ‘diluted efforts’ in areas like performance. Not every brand should have a social or environmental purpose. And we don’t want to force fit that on brands unnecessarily. Expressing more long-term commitment and ambitions is not going to help. We need to step up and drive short-term action and be super transparent about what we can achieve.” Schumacher added: “We’re not stepping away from sustainability, we’re stepping into it in a different and I believe more impactful way... We will ensure that our brand and marketing investment spend is more focused with more deliberate allocation behind bigger platforms, more consistent, fully funding our power brands, more digital and more effective increasing returns of marketing spend.” (Exhibit I).

Exhibit I

Unilever’s New Strategy and Acceleration Plan/Rol



Source: Watson Imogen, “New Unilever CEO downplays purpose and hikes adspend”, <https://www.campaignasia.com/article/new-unilever-ceo-downplays-purpose-and-hikes-adspend/492389>, October 29th 2023

According to Alistair Gray (Gray) et al., of *Financial Times*, Schumacher began his career at Unilever’s ‘Dove soap factory in South Germany’, as a graduate engineer in 1997. Talking about Schumacher’s appointment as the CEO of Unilever in July 2023, René Hooft Graafland⁷ mentioned: “He is absolutely not what you would expect from a traditional co-operative. It’s obviously a big step up for him, but I think he’s up to the challenge.” According to Gray, ‘after spending four years in Unilever, Schumacher, before moving to work at Heinz in Netherlands, spent three years at a supermarket Ahold. Schumacher’s managerial skills in coordinating sensitive projects at Heinz earned him the attention of activist investor Nelson Peltz (Peltz). Gray noted that although Schumacher had Peltz’s support at Unilever, ‘he needed to win over other shareholders’ support’. In addition, he had to ‘find a way to reignite growth, manage

⁷ A former CFO at Heineken and was a Director at FrieslandCampina until 2023.

high input costs and demands from retailers to keep prices low'. According to Unilever, Schumacher as a business leader had excellent track record and was known to 'deliver significant portfolio and organisational change' at Royal FrieslandCampina⁸ as CEO.

Chris Norman, CEO and Founder of Good Agency⁹ opined: "Unilever stretched its desire to be purposeful far too broadly. By focusing their attention on those brands with true purpose, they will increase the value and authenticity of those brands. Far too many brands are claiming purpose without any evidence or demonstration of their commitment. Unilever's business as a whole needs to continue to be driven by purposeful ambitions to have a positive impact on society and the environment, but not all their brands should be purpose-driven... brands should only ever communicate purpose if they can clearly communicate their [sic! their] positive impact on a specific and relevant social and/or environmental issue. That is how value is created for the brand, the business, the individuals who engage and wider society. Far too many brands feel they can communicate purpose without those foundation stones, and that creates no value and at worst it damages the brand's reputation."

While David Aaker (Aaker), a Brand Strategist and Vice Chairman at Prophet, a growth and transformation consulting firm, observed: "Unilever has a new CEO, Hein Schumacher. This is important because Unilever is one of the global advocates and leaders for purpose-driven branding, where every business is expected to have an inspiring social purpose that goes beyond making profits and growing sales. This was supported with a social heritage starting with their initial product, Lifebuoy soap, designed to help combat cholera in Victorian England. Paul Polman, CEO from 2009 to 2019, was the father of taking Unilever along this path. He was followed by a long-term Unilever executive Alan Jope, who doubled down on purpose-driven businesses."

Aaker added: "We can be hopeful that Schumacher will also build on this heritage of integrating a socially relevant purpose into Unilever businesses. He comes from running Friesland Campina, a food firm that has sustainability as a priority and 'creating better nutrition for the world,' as a purpose. However, there are troubling signs from some of his early comments and priorities... Second, his focus seems to be on sales growth and the need to elevate the marketing return on investment. Both are usually code words for focusing on short-term financials instead of brand equity. This tendency may be influenced by the fact that he has a background as a CFO." He concluded: "The global business community, in my view, needs Unilever to act as a role model for purpose-driven branding. It will be a shame if Unilever walks away from its leadership in having brands play a role in addressing societal challenges while still enhancing their business. And showing again and again that it can enhance and even power business performance."

Meanwhile, Cornell noted that Unilever's ice cream spin-off (The NewCo) was aimed at 'providing a diverse range of frozen desserts worldwide showcasing popular brands like Magnum, Ben & Jerry's, Walls, Yasso, and Cornetto' and keep offering products like ice cream, sorbet, and frozen yogurt, in addition, 'some innovative new flavors, formats, and packaging adapting to changing consumer tastes and preferences'. At the same time, ensure the NewCo 'remained at the forefront of the frozen dessert market'.

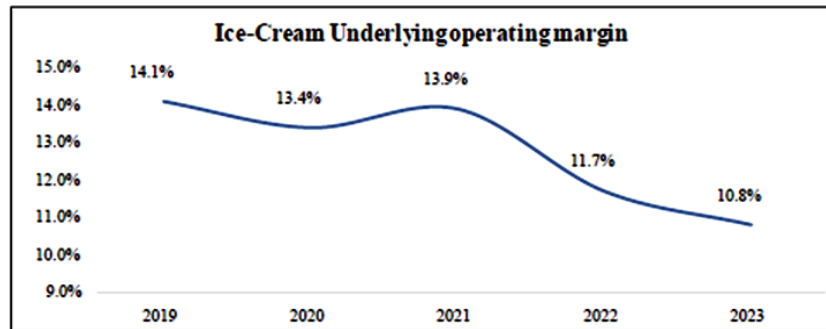
Experts claimed that Unilever had earlier divested its tea and spreads business. For example, in 2017, Unilever had exited the 'spreads' business which was acquired by a leading global investment group, KKR for €7 billion and similarly, the tea business in 2021 which was bought by a private equity company, CVC Capital Partners for €4.5 billion. Bruno Monteyne

⁸ A Dutch multinational dairy cooperative which is based in Amersfoort, Netherlands.

⁹ A purpose-driven strategy and creative agency.

(Monteyne), an Analyst at Bernstein¹⁰ while mentioning the move to spin-off the ice cream business was 'a step in the right direction', raised concerns over the effectiveness of the separation in terms of boosting growth. Monteyne questioned: "Did the previous disposals make any difference to Unilever? The answer is no."

Annexure I Unilever's Ice Cream Business



Source: company filings

Source: Cornell Joe, "Unilever PLC To Spin-Off Ice Cream Business",
<https://www.forbes.com/sites/joecornell/2024/04/03/unilever-plc-to-spin-off-ice-cream-business/?sh=41912dfd1525>, April 3rd 2024

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¹⁰ A private wealth management firm.